

**ASML****OUTPERFORM**PRICE* EUR1,319 ■ TARGET PRICE **EUR1,550** (UPSIDE 17%)

TARGET PRICE	EPS 26e	EPS 27e
↗ 3%	↗ 3%	↗ 4%

ASML ADR**OUTPERFORM**PRICE* USD1,592 ■ TARGET PRICE **USD1,850** (UPSIDE 16%)

TARGET PRICE	EPS 26e	EPS 27e
↗ 3%	↗ 3%	↗ 4%

A Tale of Two Apertures

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ASML shares have performed strongly in 2026 (+42% ytd) but have lagged semicap peers (+70% ytd) largely on concerns about capacity constraints and customers' longer term technology maps. We believe it is now a contrarian long and in this report we 1) show how High NA adoption is inevitable 2) incorporate recent positive newsflow around customer fab expansions. Reiterate OP.

Advanced logic: High-NA insertion by Intel first in 2028 with TSMC following later in 2029-30
TSMC recently reignited concerns regarding High-NA adoption at [its tech symposium](#). In this report we show how High-NA offers single exposure process simplicity from N3 to A10 for 1D patterning and is the only way without increased complexity to achieve the required minimum pitch for A10 for 2D. We find that at A14 High-NA is merely a nice-to-have (hence Intel but not TSMC adopting) with marginal savings. But at A10 the savings become more meaningful (even if it still isn't a no-brainer to insert High-NA then). Ultimately High-NA becomes unavoidable, as double patterning cannot meet minimum pitch requirements. We still assume High-NA insertion from TSMC/Samsung in '29-30.

DRAM players pulling all levers to improve cycle time – including potentially earlier High NA
With severe shortages for memory we believe DRAM players will look to add EUV layers to improve cycle times. Indeed there is growing evidence this is happening with retrofits of fabs in Korea. We continue to assume High-NA insertion at 0a (full HVM in 29/30) but see an upside risk DRAM customers adopt it earlier (2028) given the clear benefit to throughput and ultimately their revenues.

Changes to estimates and valuation

We increase '27 EPS 4% as we update for recent fab capacity newsflow including TSMC's Fab 15A conversion from 22/28nm to N4 and Micron's P5 using EUV, driving a small increase in our TP to EUR1,550 (from EUR1,500). ASML trades on c. 27x 2027 PE vs semicap peers on 32x. We expect easing capacity constraint, revenue sustainability and ultimately scope for a guidance hike at next year's CMD to ultimately drive the shares further from here over the next 12-18 months.

ESG RATINGS & KEY TOPICS

ASML

Average

- 4/5 Climate change
- 4/5 Workers (own)
- 4/5 Governance

Topics scored vs peers from 1 (low) to 5 (high performance)

ASML (+)	ASML US	ASML NA	Performance ⁽¹⁾	1w	1m	3m	12m		
*Closing Price (8 May 2026)	USD1,592	EUR1,319	Absolute ASML NA (%)	8	9	11	111		
Volume (USDm / EURm)	2,306.7	864.5	Rel. IT Hardware(%)	NC	NC	NC	NC		
Mkt cap (USDbn / EURbn)	607	503	Rel. MSCI Europe(%)	8	9	10	80		
Free float (USDbn / EURbn)	607	503	Absolute ASML US (%)	12	12	13	126		
EV (USDbn / EURbn)	606	502	Rbl. MSCI Europe(%)	11	11	13	86		
Country / Sub Sector	Netherlands / Semiconductor								
Financials (ASML NA)	12/26e	12/27e	12/28e	12/29e	Valuation (ASML NA)	12/26e	12/27e	12/28e	12/29e
EPS, Adjusted (EUR)	33.7	49.3	55.3	64.4	P/E (x)	39.1	26.8	23.8	20.5
EPS, Company (EUR)	33.74	49.30	55.32	64.40	Net yield (%)	0.6	0.6	0.7	0.8
EPS - Bloomberg (EUR)	31.4	41.2	47.3	54.9	FCF yield (%)	0.8	3.3	3.9	4.6
Net dividend (EUR)	7.5	8.4	9.4	10.4	EV/Sales (x)	12.5	9.4	8.3	7.0
Sales (EURm)	40,246	52,047	57,268	64,515	EV/EBITDA (x)	30.9	21.0	18.3	15.4
EBITA, Adj. (EURm)	15,097	22,014	24,427	28,066	EV/EBITA (x)	33.2	22.2	19.4	16.2
Net profit, Adj.(EURm)	12,882	18,597	20,614	23,649	EV/CE (x)	27.9	24.0	21.9	19.7
ROCE (%)	63.0	89.9	93.8	101.2	All valuation metrics based on adjusted figures				
Net Debt/EBITDA, Adj. (x)	0.0	-	-	-					

Source: BNP Paribas Equity Research (estimates), Bloomberg (consensus) (1) In listing currency, with dividend reinvested

See page 11 for Analyst Certification, Important Disclosures, Non-US Research Analyst disclosures and BNP Paribas Group Corporate Social Responsibility ("CSR") policies. BNP Paribas has adopted strict CSR policies that govern financing and investment in certain sectors. For time of dissemination, please refer to the [Cube](#).

The High-NA Design Choice

The minimum metal pitch (MP) per node dictates the design decision from the perspective of what one can physically imprint on the wafer. It is broadly equivalent to double the critical dimension (CD) dictated by the Rayleigh equation ($CD = k(\lambda/NA)$, see appendix for more).

The table below shows for both unidirectional (1D) and bi-directional (2D) patterns¹ what the achievable printable pitch is for both single exposure and double exposure approaches, when using Low-NA and High-NA systems by logic node (N3 to A10).

Figure 1: A14 Low-NA double-patterning (double exposure) can meet minimum pitch for both unidirectional (1D) patterns and 2D. However, at A10 this is tougher for 2D without serious constraints

Printable Pitch vs. Required Pitch per Logic Node. Metal Pitch = 2 x Critical Dimension (CD) where $CD = k(\lambda/NA)$

Low-NA vs. High-NA Resolution						Single Exposure	Double Exposure	BNP Paribas Semiconductors
MP = $2k(\lambda/NA)$						Direct Print	SALELE/SADP	
System	Node	Minimum Required Metal Pitch (MP)	Fixed (EUV) Wavelength (λ)	Variable Process Factor (k)	Low vs. High-NA NA (L=0.33, H=0.55)	Printable Pitch	Printable Pitch	
1D Pattern (k = 0.32)								
Low-NA	N3	22.0	13.5	0.32	0.33	26.2	13.1	OK. SADP Pitch 13.1 < MP 22
Low-NA	N2	22.0	13.5	0.32	0.33	26.2	13.1	OK. SADP Pitch 13.1 < MP 22
Low-NA	A14	21.0	13.5	0.32	0.33	26.2	13.1	OK. SADP Pitch 13.1 < MP 21
Low-NA	A10	18.0	13.5	0.32	0.33	26.2	13.1	OK. SADP Pitch 13.1 < MP 18
High-NA	N3	22.0	13.5	0.32	0.55	15.7	7.9	OK even in Direct Print
High-NA	N2	22.0	13.5	0.32	0.55	15.7	7.9	OK even in Direct Print
High-NA	A14	21.0	13.5	0.32	0.55	15.7	7.9	OK even in Direct Print
High-NA	A10	18.0	13.5	0.32	0.55	15.7	7.9	OK even in Direct Print
2D Pattern (k = 0.45)								
Low-NA	N3	22.0	13.5	0.45	0.33	36.8	18.4	OK. SALELE Pitch 18.4 < MP 22
Low-NA	N2	22.0	13.5	0.45	0.33	36.8	18.4	OK. SALELE Pitch 18.4 < MP 22
Low-NA	A14	21.0	13.5	0.45	0.33	36.8	18.4	OK. SALELE Pitch 18.4 < MP 21
Low-NA	A10	18.0	13.5	0.45	0.33	36.8	18.4	Fail @ k=0.45
High-NA	N3	22.0	13.5	0.45	0.55	22.1	11.0	OK. SALELE Pitch 11 < MP 22
High-NA	N2	22.0	13.5	0.45	0.55	22.1	11.0	OK. SALELE Pitch 11 < MP 22
High-NA	A14	21.0	13.5	0.45	0.55	22.1	11.0	OK. SALELE Pitch 11 < MP 21
High-NA	A10	18.0	13.5	0.45	0.55	22.1	11.0	OK. SALELE Pitch 11 < MP 18

Source: BNP Paribas Equity Research estimates

Low-NA can print everything to A14: It's clear from a purely design perspective, Low-NA multi-patterning, either self-aligned litho-etch-litho-etch (SALELE) or self-aligned double-patterning (SADP) can achieve printable metal pitches of 13.1nm and 18.4nm in both 1D and 2D patterns respectively. Both of those values are below the minimum metal pitch for the A14 node of ~21.0nm. Low-NA fails in 2D at A10, without major design constraints imposed to try and bring k below 0.45.

High-NA insertion at A10: Whilst High-NA has the advantage of single-exposure for all pitches N3 to A10 for a 1D pattern, for more complicated 2D patterning it is also capable of comfortably meeting minimum pitch requirement at A10 unlike Low-NA.

High-NA offers single exposure process simplicity (single exposure “direct print” viability) from N3 to A10 for 1D patterning and is the only way without increased complexity to achieve the minimum pitch for A10 for 2D. However, for the A14 node and its derivatives it is clearly not a requirement but a nice to have.

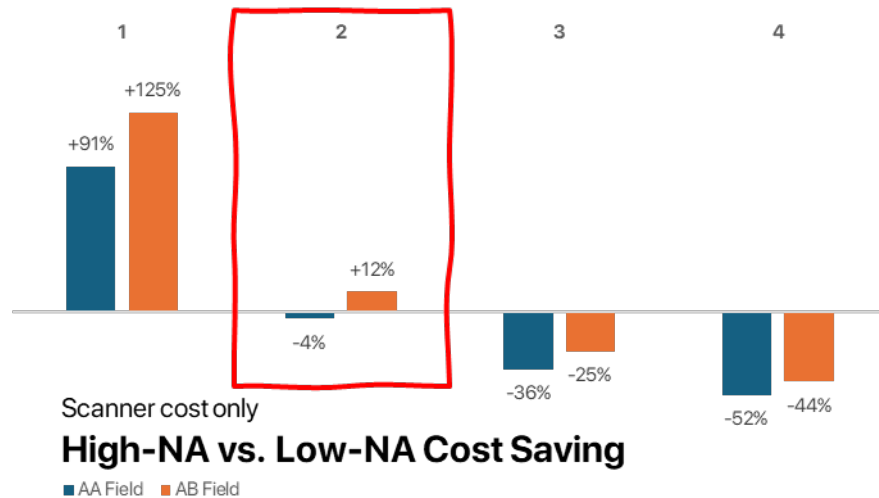
¹ A unidirectional pattern is dense line space pattern with simple pitch and lower achievable k. A 2D pattern is arbitrary since it is both x and y dimensions e.g. a corner edge tip-to-tip etc, k is naturally higher by default since lower k is unviable.

If Low-NA and High-NA can both do A14 and High-NA is “simpler” why have TSMC skipped High-NA for A14?

The chart below shows that given the throughputs for the 3800F and 5200C in 2027/28, and adjusting for real-world output, High-NA does not immediately deliver a massive cost saving for the A12/13/14 nodes at TSMC. At large die sizes relevant for A12 and A13 for AI/HPC the situation is even worse since half-reticle A-B field throughput of the scanner is ~16% lower compared to AA field with no stitching (160wph vs. 190wph). These cost savings will be a bit more pronounced when factoring in non-litho process loop cost, but for the purposes of illustration the result would not be significantly different.

Figure 2: On scanner cost alone, eliminating 2 Low-NA exposures enables a minimal cost saving when no die stitching is involved. For AI/HPC large die (AB Field) it is only a cost saving if it can remove multiple Low-NA exposures (3+)

AA Field = No Die Stitching, AB = Die Stitching, relevant for >430mm² die in HPC



Source: BNP Paribas Equity Research estimates

This field difference is also a reason why Intel is likely to use High-NA in HVM at 14A vs. TSMC opting to skip. Intel's typical x86 consumer chiplets are ~50-300mm² in size and would fall under the AA regime, no die stitching necessary per compute chiplet. Xeon compute die would require stitching, but we would anticipate these would be using Low-NA double patterning instead (already shown last year by Intel as an option at 14A).

Even at A10 the choice seems close since the Low-NA double patterning pitch is ~18.4nm vs. a required 18.0nm – could foundries skip again?

One easy way to achieve A10 without High-NA is to relax the pitch – there has been conjecture in the market that TSMC may consider this for some derivatives of the process due to cost.

Historically, the pitch for N2 and A14 was relaxed by ~1nm in production (TSMC N2 at ~23-24nm) but this was in combination with the introduction of GAA architecture with foundries wanting to ease complexity out of conservatism. Relaxation remains the largest risk to widespread High-NA adoption at A10.

Overlay: ASML control the roadmap and this is a way of steering customers towards the next-generation

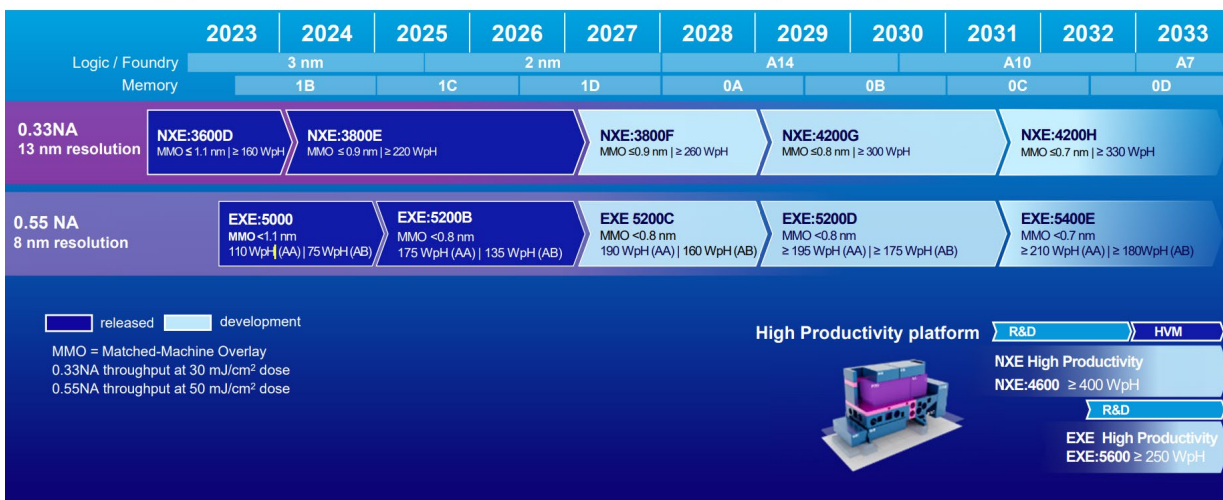
Machine matched overlay (MMO) helps improve yield when employing multi-patterning. High-NA tools generally have a better MMO than their Low-NA equivalents. ASML's control of the roadmap means some customers may pursue High-NA given overlay advantages – though this issue is likely overstated for the High-NA vs. Low-NA case. Within Low-NA better overlay aside from throughput is a reason why customers will tend to prefer new generation tools.

Figure 3: High-NA machines (EXE-series) offer better machine-matched-overlay (MMO) than their Low-NA NXE at every stage of the roadmap

ASML EXE/NXE Roadmap

EUV product roadmap enabling affordable scaling

Towards high productivity platform for 0.33NA EUV, 0.55NA EUV and potentially hyper NA in the next decade



Source: ASML SPIE 2026

Cycle Time Favours DRAM High-NA Insertion

As we wrote previously in [DRAM EUV Paradox](#), in today's capacity constrained market DRAM fabs will look to increase EUV layer counts to reduce cycle time and improve productivity of the existing footprint. We showed how upgrading DRAM from the 1a to the 1c node generates enough incremental revenue to cover the higher tool expense in very short order.

This is likely the reason why SK Hynix plans to retrofit its M14 and M16 fabs to 1c DRAM by the end of 2027 and Samsung will look to transition as much capacity to the 1c node as possible. We believe there is a very strong possibility of High-NA at the 1d and particularly 0a node for the following reasons:

- Clear opportunity for direct print (single exposure) of multiple layers
- Resultant economic advantage from reduced cycle time, potentially removes high single to double digit mask counts of ArFi multi-patterning and double patterned Low-NA EUV which is a cost saving on top of cycle time benefit
- No field stitching penalty in throughput, DRAM can use AA field since DRAM core die will not exceed 430mm².

Logic and DRAM Node Roadmaps: High-NA installs in 2028 for Logic and 2029 for DRAM

Figure 4: We see SK Hynix and likely Samsung adopting High-NA at the 0a node with installs from 2029 ready for mass production in early 2030

DRAM Node Roadmap

HVM	2022	2024	2026	2028	2030	2032	2034+	2036+
Generation	4th Generation	5th Generation	6th Generation	7th Generation	8th Generation	9th Generation	10th Generation	11th Generation
Node IMEC	D1a	D1b	D1c	D1d	D0a	D0b	D0c	D0d
Node Common/Micron	1a/1a	1b/1b	1c/1c	1d/1d	0a	0b	0c	0d
Architecture Class	6F ² Planar	6F ² Planar	6F ² Planar	6F ² Planar	Hybrid 4F ² Planar	Hybrid 4F ² Planar	TBA 3D-DRAM	TBA 3D-DRAM
IMEC Pitch (nm)								
Active Pitch	24-26	23-24	21	19	16-17	15	TBA	TBA
Word-Line	34-36	33-35	30	27	23	21	TBA	TBA
Bit-Line	38-40	38-40	34	31	27-28	24-25	TBA	TBA
EUV Layers								
Low-NA	~0-5	~0-5	~2-6	~6-9	>10	>10	TBA	TBA
High-NA	n.a.	n.a.	n.a.	n.a.	0-2	1-4	TBA	TBA
Exposures								
Low-NA	~0-5	~0-5	~2-6	~6-10	>10	>10	TBA	TBA
High-NA	n.a.	n.a.	n.a.	n.a.	0-2	1-4	TBA	TBA
HBM Product Class								
Nvidia AI Architecture	HBM3 Hopper	HBM3E/4 Blackwell	HBM4/E Rubin	HBM4E/5 Feynman	HBM5E/6 TBA	TBA TBA	TBA TBA	TBA TBA

Source: IMEC, Samsung, SK Hynix, Micron, TechInsights, SPIE & BNP Paribas Exane estimates

Figure 5: Intel is first with High-NA with installs for 14A likely from early 2028 for HVM in 2H28, TSMC is likely to follow in late 2029 for A10. Samsung foundry is unlikely to adopt before 2030

Logic Node Roadmap

	2025	2026	2027	2028	2029	2030-31+
IMEC Roadmap	N3 N2	N2	N2 A14	N2 A14	A14 A10	A10 A7
Transistor	FinFET Nanosheet	Nanosheet Nanosheet	Nanosheet Nanosheet	Nanosheet Nanosheet	Nanosheet Nanosheet	Nanosheet/Forksheet
Metal Pitch (nm)	23 22	22 22	22 21	21 21	21 18	18 16
TSMC	2nm	2nm 1.6nm	2nm	2nm 1.4nm	1.4nm 1nm	Ambition 0.7nm
Process Name	N2	N2P A16	N2X	N2U A14	A12 A10	A7
EUV - ASML	0.33NA	0.33NA 0.33NA	0.33NA	0.33NA 0.33NA	0.33NA High-NA	High-NA
Power Delivery	Frontside	Frontside Backside	Frontside	Frontside	Backside Backside	Backside
Transistor	GAA	GAA GAA	GAA	GAA GAA	GAA GAA	CFET
Samsung	2nm	2nm			1.4nm	Ambition 1nm
Process Name	SF2x	SF2x			SF1.4x	SF1.0x
EUV - ASML	0.33NA	0.33NA			0.33NA	High-NA
Power Delivery	Frontside	Backside			Backside	Backside
Transistor	GAA	GAA			GAA	FSFET
Intel	1.8nm	1.8nm		1.8nm 1.4nm	Ambition 1nm	Ambition 0.7nm
Process Name	18A	18A-P		18A-PT 14A-E	10A	7A
EUV-ASML	0.33NA	0.33NA		0.33NA High-NA	High-NA	High-NA
Power Delivery	Backside	Backside		Backside	Backside	Backside
Transistor	GAA	GAA		GAA GAA	GAA	CFET
Rapidus			2nm		Ambition 1.4nm	Ambition 1nm
Process Name			2HP		1.4HP	1HP
EUV-ASML			0.33NA		0.33NA	High-NA
Power Delivery			Backside		Backside	Backside
Transistor			GAA		GAA	GAA

Source: BNP Paribas Equity Research estimates

EUV Modelling Updates & Valuation

Logic: We have incorporated the ongoing upgrade to Fab 15A in Taichung Taiwan from 22/28nm to N4 by TSMC. We have also moved around phasing of Baoshan Fab 20 P3 and Kaohsiung Fab 22 P4, with P3 now set for N2 production (vs. A14 previous in 2028) and P4 set for A14 production (N2 previous in 2027).

DRAM: In memory we also include Micron's Tongluo fab (P5 PSMC acquisition) with Section B likely to be an EUV fab with 45kwspm of capacity HVM in 2028. For Memory High-NA we now forecast 10 DRAM installs for Hynix and Samsung in aggregate between 2029 and 2030 vs. 3 previous.

Our detailed Global EUV Fab Model is available on request.

Figure 6: We forecast 66 EUV units in 2026 rising to 90 in 2027 and 108 by 2030 o.w. 18 are High-NA

Global EUV Fab Model. Note lithographic capacity $\neq$ Realised fab capacity at date given

Global EUV Fab Model		Fab Capacity Ramp kwspm						Annual EUV Installations						2025-2030		Complete
		2025	2026	2027	2028	2029	2030	2025	2026	2027	2028	2029	2030	ΣEUV	kwspm	Target EUV
Aggregate	+ TSMC	350	460	570	730	855	930	23	28	38	46	51	48	234	580	447
	+ Intel	68	103	130	175	230	275	8	10	11	11	16	18	74	207	113
	+ Rapidus	-	-	25	25	25	25	2	3	3	-	-	5	13	25	17
	+ Samsung	77	97	117	122	167	187	1	5	6	8	9	7	36	85	45
	= Logic Foundry	495	660	842	1,052	1,277	1,417	34	46	58	65	76	78	357	897	622
	- o.w. High-NA	-	-	5	80	220	350	2	1	-	2	5	15	25	350	91
	- o.w. Low-NA	495	660	837	972	1,057	1,067	32	45	58	63	71	63	332	547	531
	+ Samsung DRAM	895	975	1,080	1,205	1,305	1,355	8	11	12	12	11	14	68	460	167
	+ SK Hynix DRAM	495	560	590	730	830	880	4	8	17	14	10	10	63	385	123
	+ Micron (EUV)	100	100	150	270	345	420	2	1	3	9	9	6	30	320	46
= DRAM	1,490	1,635	1,820	2,205	2,480	2,655	14	20	32	35	30	30	161	1,165	336	
- o.w. High-NA							2	2	-	-	5	5	14	n.m.	8	
+ Logic Foundry	495	660	842	1,052	1,277	1,417	34	46	58	65	76	78	357	897	622	
+ DRAM	1,490	1,635	1,820	2,205	2,480	2,655	14	20	32	35	30	30	161	1,165	336	
+ Research & Other							-	1	-	-	-	-	1	n.a.	n.a.	
= EUV Systems	1,985	2,295	2,662	3,257	3,757	4,072	48	66	90	100	106	108	519	2,062	958	
Node	5nm	230	230	265	300	300	300	3	-	5	4	5	4	21	70	71
	3nm	165	245	275	275	300	300	3	11	15	2	5	2	38	135	101
	2nm	93	178	295	395	455	465	27	35	34	28	15	-	139	347	147
	A14	-	5	5	80	215	240	1	-	3	30	42	22	98	240	104
	A10	-	-	-	-	5	110	-	-	1	1	9	50	61	110	129
	A7	-	-	-	-	-	-	-	-	-	-	-	-	-	-	70
	= Logic Foundry	488	658	840	1,050	1,275	1,415	34	46	58	65	76	78	357	902	622

Source: BNP Paribas Equity Research estimates

Figure 7: We increase our estimates slightly as we incorporate TSMC Fab 15A conversion from 22/28nm to N4 progressively through FY27-2029 and Micron P5

Changes to Estimates

Delta Estimates	Previous Estimates			BNPP			Delta Absolute			Delta %		
	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028
+ EUV	15,474	21,803	25,120	16,309	23,228	26,545	835	1,425	1,425	+5.4%	+6.5%	+5.7%
+ ArFi	10,079	13,079	13,472	10,079	13,079	13,472	-	-	-	-	-	-
+ ArFi - Dry	706	847	988	706	847	988	-	-	-	-0.1%	-	-
+ KrF	1,551	1,680	1,680	1,551	1,680	1,680	-	-	-	-	-	-
+ I-Line	357	416	387	357	416	387	-	-	-	-0.1%	+0.1%	-0.1%
= Lithography	28,167	37,825	41,646	29,002	39,250	43,071	835	1,425	1,425	+3.0%	+3.8%	+3.4%
+ Metrology + Inspection	777	950	1,000	777	950	1,000	-	-	-	-0.1%	-	-
= Net System Sales	29,423	39,415	43,306	30,258	40,840	44,731	835	1,425	1,425	+2.8%	+3.6%	+3.3%
+ Installbase Management	9,988	11,158	12,448	9,988	11,208	12,538	(1)	50	90	-	+0.4%	+0.7%
= Revenue	39,411	50,572	55,753	40,246	52,047	57,268	835	1,475	1,515	+2.1%	+2.9%	+2.7%
%y/y: Sales	+20.6%	+28.3%	+10.2%	+23.2%	+29.3%	+10.0%	+2.6%	+1.0%	-0.2%	n.m.	n.m.	n.m.
Revenue DUV	12,335	15,606	16,139	12,335	15,606	16,139	-	-	-	-	-	-
Revenue EUV	15,474	21,803	25,120	16,309	23,228	26,545	835	1,425	1,425	+5.4%	+6.5%	+5.7%
+ EUV	63	85	96	66	90	100	3	5	4	+4.8%	+5.9%	+4.2%
+ ArFi	127	160	160	127	160	160	-	-	-	-	-	-
+ ArFi - Dry	25	30	35	25	30	35	-	-	-	-	-	-
+ KrF	120	130	130	120	130	130	-	-	-	-	-	-
+ I-Line	60	70	65	60	70	65	-	-	-	-	-	-
= Total Lithography Systems	395	475	486	398	480	490	3	5	4	+0.8%	+1.1%	+0.8%
COGS	18,525	22,908	24,895	18,917	23,248	25,432	392	340	537	+2.1%	+1.5%	+2.2%
Gross Profit (US GAAP)	20,886	27,664	30,858	21,329	28,799	31,836	443	1,135	978	+2.1%	+4.1%	+3.2%
Gross Margin	+53.0%	+54.7%	+55.3%	+53.0%	+55.3%	+55.6%	-0.0%	+0.6%	+0.3%	n.m.	n.m.	n.m.
R&D	4,945	5,143	5,400	4,945	5,242	5,556	-	99	156	-	+1.9%	+2.9%
SG&A	1,287	1,351	1,418	1,287	1,544	1,853	-	193	435	-	+14.3%	+30.6%
+ Other	-	-	-	-	-	-	-	-	-	n.m.	n.m.	n.m.
= Total Opex	6,231	6,494	6,818	6,231	6,785	7,409	-	291	591	-	+4.5%	+8.7%
EBIT (US GAAP)	14,655	21,171	24,040	15,097	22,014	24,427	442	843	387	+3.0%	+4.0%	+1.6%
Margin	+38.5%	+55.7%	+63.2%	+38.3%	+55.9%	+62.0%	-0.2%	+0.2%	-1.2%	n.m.	n.m.	n.m.
+ Net Interest Income	101	50	50	101	50	50	-	-	-	-0.1%	-	-
+ Income Tax	(2,511)	(3,608)	(4,095)	(2,587)	(3,751)	(4,161)	(76)	(143)	(66)	+3.0%	+4.0%	+1.6%
+ Associates & Misc.	270	284	298	270	284	298	-	(1)	-	n.m.	n.m.	n.m.
= ASML Net Income (US GAAP)	12,514	17,897	20,293	12,882	18,597	20,614	368	700	321	+2.9%	+3.9%	+1.6%
EPS Diluted	32.8	47.4	54.5	33.7	49.3	55.3	0.94	1.90	0.82	+2.9%	+4.0%	+1.5%
ASML Defined Net Capex	1,923	1,979	2,058	1,923	1,979	2,058	-	-	-	-	-	-
ASML Defined D&A	1,120	1,232	1,339	1,120	1,232	1,339	-	-	-	-	-	-
ASML Defined Net CFO	6,165	17,592	21,060	6,108	18,220	21,390	(57)	628	330	-0.9%	+3.6%	+1.6%
ASML Defined FCFE	4,242	15,613	19,002	4,185	16,241	19,332	(57)	628	330	-1.3%	+4.0%	+1.7%
ASML Defined Net Cash	(79)	6,326	15,799	(136)	6,897	16,700	(57)	571	901	+71.6%	+9.0%	+5.7%

Source: BNP Paribas Equity Research estimates

Figure 8: We are now c. 10% ahead of 2027-2029 consensus revenues

Bloomberg Consensus vs. Estimates

Current Estimates	Bloomberg			BNPP			Delta Absolute			Delta %		
	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028
= Net System Sales	29,248	36,818	40,786	30,258	40,840	44,731	1,010	4,022	3,945	+3.5%	+10.9%	+9.7%
+ Install Base Management	9,892	11,029	11,999	9,988	11,208	12,538	95	178	539	+1.0%	+1.6%	+4.5%
= Revenue	39,130	47,294	51,923	40,246	52,047	57,268	1,115	4,753	5,345	+2.9%	+10.1%	+10.3%
%y/y: Sales	+19.8%	+20.9%	+9.8%	+23.2%	+29.3%	+10.0%	+3.4%	+8.5%	+0.2%	n.m.	n.m.	n.m.
Revenue Non-EUV	13,362	15,193	16,440	13,469	16,972	17,526	107	1,780	1,086	+0.8%	+11.7%	+6.6%
Revenue EUV	15,919	21,550	25,113	16,309	23,228	26,545	391	1,678	1,432	+2.5%	+7.6%	+5.7%
+ EUV	64	83	89	66	90	100	2	7	11	+3.1%	+8.0%	+12.4%
+ ArFi	122	137	141	127	160	160	5	23	19	+4.2%	+16.9%	+13.2%
+ ArFi - Dry	30	36	34	25	30	35	(5)	(6)	1	-17.7%	-15.8%	+4.3%
+ KrF	116	127	130	120	130	130	4	3	-	+3.7%	+2.7%	-0.3%
+ I-Line	55	64	62	60	70	65	5	6	3	+9.1%	+9.5%	+4.3%
= Total Lithography Systems	387	446	457	398	480	490	11	34	33	+2.9%	+7.5%	+7.3%
COGS	18,462	21,432	22,758	18,917	23,248	25,432	455	1,816	2,674	+2.5%	+8.5%	+11.7%
Gross Profit (US GAAP)	20,669	25,862	29,165	21,329	28,799	31,836	660	2,937	2,672	+3.2%	+11.4%	+9.2%
Gross Margin	+52.8%	+54.7%	+56.2%	+53.0%	+55.3%	+55.6%	+0.2%	+0.6%	-0.6%	n.m.	n.m.	n.m.
R&D	5,037	5,534	6,009	4,945	5,242	5,556	(92)	(292)	(453)	-1.8%	-5.3%	-7.5%
SG&A	1,288	1,422	1,577	1,287	1,544	1,853	(1)	122	276	-0.1%	+8.6%	+17.5%
+ Other	151	309	377	-	-	-	(151)	(309)	(377)	n.m.	n.m.	n.m.
= Total Opex	6,476	7,265	7,962	6,231	6,785	7,409	(244)	(480)	(554)	-3.8%	-6.6%	-7.0%
EBIT (US GAAP)	14,193	18,597	21,202	15,097	22,014	24,427	904	3,417	3,225	+6.4%	+18.4%	+15.2%
Margin	+36.3%	+39.3%	+40.8%	+37.5%	+42.3%	+42.7%	+1.2%	+3.0%	+1.8%	n.m.	n.m.	n.m.
+ Net Interest Income	(126)	(138)	(142)	101	50	50	227	188	192	-180.1%	-136.1%	-135.3%
+ Income Tax	(2,457)	(3,222)	(3,726)	(2,587)	(3,751)	(4,161)	(130)	(529)	(435)	+5.3%	+16.4%	+11.7%
+ Associates & Misc.	639	620	716	270	284	298	(369)	(337)	(418)	n.m.	n.m.	n.m.
= ASML Net Income (US GAAP)	12,250	15,857	18,050	12,882	18,597	20,614	632	2,739	2,564	+5.2%	+17.3%	+14.2%
EPS Diluted	31.3	41.0	47.2	33.7	49.3	55.3	2.4	8.3	8.1	+7.7%	+20.1%	+17.2%

Source: BNP Paribas Equity Research estimates, Bloomberg

Figure 9: We raise our TP to EUR1550 (ADR USD1,850) and remain Outperform

DCF & Multiple Based Valuation

ASML NA Equity	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033
	Reported	Reported	Reported	Estimate	Estimate	Estimate	Estimate	Estimate	Estimate	Estimate	Estimate
+ EBIT	9,042	9,023	11,302	15,097	22,014	24,427	28,066	29,939	-	-	-
+ Tax	(1,538)	(1,534)	(1,922)	(2,567)	(3,743)	(4,154)	(4,772)	(5,091)	-	-	-
+ Net CapEX	(2,689)	(2,609)	(3,778)	(1,988)	(1,979)	(2,058)	(2,141)	(2,500)	-	-	-
+ D&A (Ex-Impairments)	740	919	1,026	1,120	1,232	1,339	1,441	1,541	-	-	-
+ ΔWorking Capital	(3,664)	2,053	1,027	(7,850)	(1,608)	(562)	(707)	(446)	-	-	-
= Free Cash Flow	1,892	7,851	7,655	3,812	15,915	18,992	21,888	23,443	-	-	-
Time	-	-	-	-	1.0	2.0	3.0	4.0	5.0	6.0	7.0
Discount Factor	-	-	-	-	0.92	0.85	0.78	0.72	0.66	0.61	0.56
= Discounted Cash Flow	-	-	-	-	14,645	16,081	17,055	16,809	-	-	-

+ Sum of DCF NPV	2026	64,590
+ Terminal Value		531,196
= Consolidated EV		595,787
+ Net Cash		(136)
+ Other Liabilities		-
+ Dividend		2,917
+ Revalued Minorities		-
+ Associates & Investments		1,752
+ Other Obligations		-
= ASML Equity Value EURm		600,319
NOSHm		381.8
Implied Price DCF		1,572
Implied Price 30x '27E P/E		1,479
Target Price EUR		1,550
Target Price USD		1,850

DCF Cost of Capital	
Risk Free Rate	2.8%
Risk Premium	5.8%
Beta	1.5
Cost of Equity	11.5%
Cost of Debt	2.5%
Tax Rate	17.0%
Cost of Debt	2.1%
% Equity	70.0%
% Debt	30.0%
= WACC	8.7%
Long Term Growth	5.3%
Implied Multiple	30.0x

2030 NOPAT	24,849
Net Reinvestment	(1,405)
Proportion	+5.7%
Implied ROCE	+94.4%
Terminal Gross Margin	+56.6%
Terminal Year	2030
Target Price Market Cap	591,852
2026 P/E @ Target Price	45.9x
2027 P/E @ Target Price	31.4x
2028 P/E @ Target Price	28.0x
Sales CAGR 25-30E	+25.7%

Source: BNP Paribas Equity Research estimates

Appendices

Figure 10: Process factor k has a derived lower bound of 0.25 which is the diffraction limit, an immutable property

Process Factor in Rayleigh

$$CD = k_1 \frac{\lambda}{NA}$$

$k_1 > 0.55$	Binary Mask + Simple Illumination
$k_1 = 0.45-0.55$	Binary + Attenuated PSM + OPC + Off-axis Illumination
$k_1 = 0.35-0.45$	Alternating / Chromeless PSM + OPC + Complex Illumination
$k_1 = 0.25-.35$	Innovative Solutions
$k_1 < 0.25$	Below Diffraction Limit. Impossible.

Source: BNP Paribas Equity Research estimates

Investment case, valuation and risks

ASML (Outperform, Target Price EUR1,550)

Investment case

We believe ASML is one of the European and global semi equipment long term winners. It should see strong revenue growth with the adoption of EUV by foundries and memory players as they move to smaller nodes. Our long-term revenue growth is above consensus based on our above-consensus views of volume and ASP, as well as broader end-market adoption. We model chip demand by product and product family bottom up and that gives us clear line of sight on where future demand will come from. We track fab rollouts enabling us to forecast volume. And by correlating ASP with throughput we can forecast substantial ASP growth.

Valuation methodology

We derive our TP from a 50:50 DCF and P/E multiple based calculation.

Risks

To the upside:

Upside risks include: 1) resolution of US/China trade tensions; 2) stronger WFE market; 3) faster EUV adoption; 4) acceleration of underlying smartphone, PC, server markets and new markets such as AI.

To the downside:

Downside risks include: 1) end demand becoming much weaker; 2) putting capacity build-out plans on hold; 3) escalation of US/China trade tensions slowing the buildout of advanced manufacturing in China.

ASML ADR (Outperform, Target Price USD1,850)

Investment case

We believe ASML is one of the European and global semi equipment long term winners. It should see strong revenue growth with the adoption of EUV by foundries and memory players as they move to smaller nodes. Our long-term revenue growth is above consensus based on our above-consensus views of volume and ASP, as well as broader end-market adoption. We model chip demand by product and product family bottom up and that gives us clear line of sight on where future demand will come from. We track fab rollouts enabling us to forecast volume. And by correlating ASP with throughput we can forecast substantial ASP growth.

Valuation methodology

We derive our TP from a 50:50 DCF and P/E multiple based calculation.

Risks

To the upside:

Upside risks include: 1) resolution of US/China trade tensions; 2) stronger WFE market; 3) faster EUV adoption; 4) acceleration of underlying smartphone, PC, server markets and new markets such as AI.

To the downside:

Downside risks include: 1) end demand becoming much weaker; 2) putting capacity build-out plans on hold; 3) escalation of US/China trade tensions slowing the buildout of advanced manufacturing in China.

ANALYST CERTIFICATION AND IMPORTANT DISCLOSURES

Analyst Certification

We, **Jakob Bluestone, Kohulan Paramaguru**, hereby certify that all of the views expressed in this report accurately reflect our personal view(s) about the company or companies and securities discussed in this report. No part of our compensation was, is, or will be, directly, or indirectly, related to the specific recommendations or views expressed in this research report.

Non-US Research Analyst Disclosure

The research analysts named below were involved in preparing this research report. They are not associated persons of BNP Paribas Securities Corp. and thus they are not registered or qualified in the U.S. as research analysts with the Financial Industry Regulatory Authority (FINRA) or the New York Stock Exchange (NYSE). These non-U.S. analysts are not subject to FINRA Rule 2241 concerning communications with a subject company, public appearances and trading securities held by a research analyst account.

Jakob Bluestone	BNP Paribas London Branch	Kohulan Paramaguru	BNP Paribas London Branch
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Research Analyst Compensation

The research analyst(s) responsible for the preparation of this report receive(s) compensation based upon various factors including overall firm revenues, which include revenues from investment banking activities and/or sales and trading activities.

Research Analyst-Specific Disclosures

The table immediately below indicates if the research analyst(s) responsible for the preparation of this report (or members of their household) has/have certain conflicts of interest relating to the subject company/ies.

Company/ies	Relevant Disclosures
/	

- 1 – The research analyst(s) responsible for the preparation of this report, a member of his/her household or an associate of the research analyst has/have a financial interest in the securities of the subject company/ies indicated in the above table.
- 2 – The research analyst(s) responsible for the preparation of this report, a member of his/her household or an associate of the research analyst serve(s) as an employee, officer, director, or advisory board member of the subject company/ies indicated in the above table.
- 3 – The research analyst(s) responsible for the preparation of this report received compensation from the subject company/ies in the past twelve months.
- 4 – The research analyst(s) responsible for the preparation of this report has a material conflict of interest with respect to the subject company/ies, which has not already been identified under 1, 2 or 3 above.

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Company/ies	Ticker/s	Relevant Disclosures
Aixtron	AIXA GY	1; 2; 3; 4; 6; 7; 8- BNP Paribas is acting as Joint Global Coordinator and Joint Bookrunner for the c. EUR 450m convertible bond by Aixtron SE and up to c. EUR 140m delta placement ; 10
Aixtron US	AIXXF US	2; 3; 4; 6; 7; 8- BNP Paribas is acting as Joint Global Coordinator and Joint Bookrunner for the c. EUR 450m convertible bond by Aixtron SE and up to c. EUR 140m delta placement ; 10
Applied Materials	AMAT US	2; 3; 4; 7; 8; 9; 10
ASM International	ASM NA	6; 7; 9; 10
ASM International ADR	ASMIY US	6; 7; 9; 10
ASML	ASML NA	1; 6; 7; 10
ASML ADR	ASML US	6; 7; 10
Intel	INTC US	2; 3; 4; 7; 8- BNP Paribas Sec Corp is acting as Junior Active Bookrunner on a SEC registered secondary public offering 'of Mobileye Global Inc (Nasdaq: MBLY) common shares sold by Intel Overseas Funding Corporation, a wholly owned subsidiary of Intel Corporation (Nasdaq: INTC), that announced to the markets on July 8, 2025; 9; 10
Jenoptik	JEN GY	6; 7; 9; 10
KLA	KLAC US	7; 9; 10
Lam Research	LRCX US	2; 3; 4; 7; 8; 9; 10
Micron Technology	MU US	2; 3; 4; 7; 8; 9; 10
Samsung Electronics	005930 KS	3; 4; 7; 8; 9; 10
SK Hynix	000660 KS	3; 4; 7; 8; 9; 10; 11- Net long position
SPIE	SPIE FP	2; 3; 4; 6; 7; 8- BNP Paribas is acting as Joint Global Coordinator for the c. 200 m € Secondary Accelerated Book Building of SPIE by PEUGEOT INVEST.; 9; 10; 11- Net short position
TSMC	2330 TT	3; 4; 7; 8; 9; 10; 11- Net long position
TSMC ADR	TSM US	3; 4; 7; 8; 9; 10
VAT	VACN SW	6

1 – BNPP beneficially owns 1% or more of a class of common equity securities of the subject company/ies.

2 – BNPP managed or co-managed an offering of securities for the subject company/ies in the past 12 months.

3 – BNPP received compensation for investment banking services from the subject company/ies in the past 12 months.

4 – BNPP expects to receive or intends to seek compensation for investment banking services from the subject company/ies in the next 3 months.

5 – BNPP has entered into a contract with the subject company/ies to provide liquidity in its/their securities.

6 – BNPP is a market maker in the securities of the subject company/ies.

7 – BNPP received compensation for products and services other than investment banking services from the subject company/ies in the past 12 months.

8 – BNPP has or had an investment banking client relationship with the subject company/ies in the last 12 months.

9 – BNPP has or had a non-investment banking securities services client relationship with the subject company/ies in the last 12 months.

10 – BNPP has or had a non-securities services client relationship with the subject company/ies in the last 12 months.

11 – BNPP beneficially owns a net long or short position of more than 0.5% of the total issued share capital of the subject company/ies.

12 – BNPP is party to an agreement with the issuer relating to the production of the recommendation.

13 – Sections of this report, with the research summary, target price and rating removed, have been presented to the subject company/ies prior to its distribution, for the sole purpose of verifying the accuracy of factual statements.

14 – Following the presentation of sections of this report to the subject company/ies, some conclusions were amended.

15 – A member of BNPP Equity Research is an officer or a member of the Board of the subject company/ies.

16 – The subject company/ies hold(s) more than 5% of the total issued share capital of BNPP.

17 – BNP Paribas Securities (China) Limited owns 1% or more of the outstanding shares issued by the subject company.

Explanation of Research Ratings

Rating System

Our coverage analysts use a rating system in which they rate stocks as Outperform, Neutral, or Underperform (as defined below) relative to other companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Outperform (O/P): The stock is expected to outperform the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Neutral: The stock is expected to perform in line with the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Underperform (U/P): The stock is expected to underperform the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Under review: The rating of the stock has been placed under review after significant news. Any possible change will be confirmed as soon as possible in the form of a new broadly disseminated report.

Restricted (RS): The stock is covered by BNPP but there is no Rating and no Target Price because BNPP is involved in an equity capital market/ merger and acquisition transaction relating to the subject company.

Not Rated (NR): The stock is covered by BNPP but there is no Rating and no Target Price at this time.

Not Covered (NC): BNPP does not cover this company

As of 23 September 2024, TEB Investment has changed the recommendation rating structure for Turkish stock coverage from Buy, Hold and Reduce to Outperform, Neutral and Underperform. Ratings and target prices for dates prior to 23 September 2024 used an absolute rating structure whereby the upside or downside to target price relative to the current share price determined the recommendation. TEB Investment now uses a relative recommendation structure whereby the applied rating is based on the stock's expected performance as compared to the average total return of all companies covered by the analyst or the analyst's team in Turkish stock coverage over a 12-month investment horizon. TEB Investment research reports with ratings and target prices for dates prior to 11 August 2025 were prepared and distributed without involvement of a FINRA member firm.

ESG Rating Explanation and Methodology

ESG integration methodology: The BNP Paribas approach offers an alternative to mechanistic ESG scores and leverages the in-depth knowledge of our industry equity research teams by combining quantitative and qualitative factors. There are three steps to our framework; firstly, our teams build a materiality map to assess which ESG topics are most relevant to their respective industries. Secondly, for the chosen topics, companies are assessed relative to sector peers. The assessment can be based on metrics and qualitative judgements. Each company is given a one to five score per topic, with five being the best. Thirdly, based on the topic scores, and any other significant ESG factors, we identify companies in the sector as ESG Leaders, ESG Laggards or ESG Average. The definition of the ratings is shown below; they are not based on the average topic score as some topic scores can be more material than others.

ESG Leader: Relative to sector peers an ESG Leader is better positioned on the chosen ESG topics, or other relevant ESG considerations.

ESG Average: A company rated as ESG Average may have strong or poor performance on an individual ESG topic, but overall has an average exposure to ESG risks and opportunities.

ESG Laggard: Relative to sector peers an ESG Laggard is poorly positioned on the chosen ESG topics, or other relevant ESG considerations for the stock.

Distribution of BNP Paribas' Equity Recommendations

As at 01 March 2026 BNP Paribas covered 1275 companies. The companies that, for regulatory reasons, are not accorded a rating by BNPP are excluded from these statistics. For regulatory reasons, our ratings of Outperform, Neutral and Underperform correspond respectively to Buy, Hold and Sell; the underlying signification is, however, different as our ratings are relative to the sector.

Ratings	Stocks coverage		Investment Banking Services Within the previous 12 months	
	Counts	%*	Counts	%
Outperform (Buy)	645	51	166	26
Neutral (Hold)	428	34	101	24
Underperform (Sell)	202	16	42	21

* Please note that the percentages might not add up to 100% because of rounding.

BNP Paribas Financing and Investment Policies

Sustainability is core to BNP Paribas' company purpose: "we are engaged with our clients to create a better future".

In line with the United Nations Sustainable Development Goals, the BNP Paribas Group has thus pledged to act as a catalyst in the energy transition, and to contribute to a responsible and sustainable economy. As a bank, we are required to finance a number of industries, some of which can pose major environmental, social and governance (ESG) challenges. That's why, since 2010, BNP Paribas has adopted and regularly reviewed sector policies laying down strict ESG criteria meant to govern our financing and investments in these sensitive areas. They aim to support our customers in their transitions towards sustainable practices. For more details, please refer to: Financing and investment policies - BNP Paribas (<https://group.bnpparibas/en/our-commitments/transitions/financing-and-investment-policies>).

Price and Ratings Chart

ASML

Historical Closing Price & Target Price (closing price as of 08/05/2026)



Source: BNP Paribas

Historical rating & target price changes

Date & Time of Dissemination (London time) (2)	Rating (1)	Target Price	Closing Price	Key Changes	Person(s) Involved
11 May 2026 06:18	+	EUR1550.00	EUR1319.40	TP up	J. Bluestone, K. Paramaguru
2 Feb. 2026 06:18	+	EUR1500.00	EUR1224.80	TP up	J. Bluestone, K. Paramaguru
8 Jan. 2026 05:43	+	EUR1175.00	EUR1013.00	TP up	J. Bluestone, M. Jungfleisch, K. Paramaguru
1 Dec. 2025 05:44	+	EUR1100.00	EUR926.70	TP up	J. Bluestone, K. Paramaguru
4 Nov. 2025 05:39	+	EUR1000.00	EUR918.00	TP up	J. Bluestone, K. Paramaguru
15 Oct. 2025 21:06	+	EUR920.00	EUR873.00	TP up	J. Bluestone, K. Paramaguru
7 Oct. 2025 05:38	+	EUR900.00	EUR874.80	TP up	J. Bluestone, M. Jungfleisch, K. Paramaguru
15 Aug. 2025 06:18	+	EUR710.00	EUR636.70	TP down	J. Bluestone, K. Paramaguru
17 Jul. 2025 23:13	+	EUR745.00	EUR650.20	TP down	J. Bluestone, K. Paramaguru
19 May 2025 06:07	+	EUR800.00	EUR662.40	TP down	J. Bluestone, K. Paramaguru
20 Mar. 2025 05:53	+	EUR825.00	EUR672.50	TP up	J. Bluestone, K. Paramaguru
29 Jan. 2025 16:37	+	EUR820.00	EUR682.50	TP up	J. Bluestone, K. Paramaguru
3 Dec. 2024 06:23	+	EUR817.00	EUR664.10	Initiation of coverage	J. Bluestone, K. Paramaguru, D. O'Connor
29 Nov. 2024 18:04	NC	-	EUR642.90	Coverage dropped	BNP Paribas Equity Research
18 Oct. 2024 06:30	+	EUR800.00	EUR664.50	TP down	D. O'Connor, O. Semprez
30 Sep. 2024 16:54	+	EUR960.00	EUR745.60	TP down	D. O'Connor, O. Semprez
4 Apr. 2024 05:58	+	EUR1110.00	EUR901.30	TP up	J. Ramel, O. Semprez
16 Jan. 2024 06:09	+	EUR830.00	EUR652.30	TP up	J. Ramel, O. Semprez, D. O'Connor

(1) With effect from 23 September 2024, BNP Paribas changed its research rating system - please refer to the 'Explanation of Research Ratings'.

(2) Please refer to Cube for the dissemination time of this report.

Note:

- The closing price is based on the market close price on the last business close date.
- Closing prices and target prices have been adjusted to take into account stock splits or corporate actions where applicable.
- All ratings and target prices are valid for 12 months.

ASML ADR

Historical Closing Price & Target Price (closing price as of 08/05/2026)



Source: BNP Paribas

Historical rating & target price changes

Date & Time of Dissemination (London time) (2)		Rating (1)	Target Price	Closing Price	● Key Changes	Person(s) Involved
11 May 2026	(2)	+	USD1850.00	USD1592.02	TP up	J. Bluestone, K. Paramaguru
2 Feb. 2026	06:18	+	USD1800.00	USD1441.39	TP up	J. Bluestone, K. Paramaguru
8 Jan. 2026	05:43	+	USD1375.00	USD1194.32	TP up	J. Bluestone, M. Jungfleisch, K. Paramaguru
1 Dec. 2025	05:44	+	USD1300.00	USD1087.99	TP up	J. Bluestone, K. Paramaguru
4 Nov. 2025	05:39	+	USD1180.00	USD1030.14	TP up	J. Bluestone, K. Paramaguru
15 Oct. 2025	21:06	+	USD1085.00	USD1009.81	TP up	J. Bluestone, K. Paramaguru
7 Oct. 2025	05:38	+	USD1060.00	USD1002.30	TP up	J. Bluestone, M. Jungfleisch, K. Paramaguru
15 Aug. 2025	06:18	+	USD825.00	USD742.16	TP down	J. Bluestone, K. Paramaguru
17 Jul. 2025	23:13	+	USD865.00	USD744.91	TP down	J. Bluestone, K. Paramaguru
19 May 2025	06:07	+	USD895.00	USD749.13	TP down	J. Bluestone, K. Paramaguru
16 Apr. 2025	20:22	+	USD940.00	USD634.93	TP up	J. Bluestone, K. Paramaguru
20 Mar. 2025	05:53	+	USD900.00	USD734.06	TP up	J. Bluestone, K. Paramaguru
29 Jan. 2025	16:37	+	USD860.00	USD712.65	TP up	J. Bluestone, K. Paramaguru
3 Dec. 2024	06:23	+	USD858.00	USD711.47	Initiation of coverage	J. Bluestone, K. Paramaguru, D. OConnor

(1) With effect from 23 September 2024, BNP Paribas changed its research rating system - please refer to the 'Explanation of Research Ratings'.

(2) Please refer to Cube for the dissemination time of this report.

Note:

- The closing price is based on the market close price on the last business close date.
- Closing prices and target prices have been adjusted to take into account stock splits or corporate actions where applicable.
- All ratings and target prices are valid for 12 months.

For policies for managing conflicts of interest in relation to investment research, go to [COI investement research.pdf \(cib.bnpparibas\)](#).

The company-specific disclosures, history of recommendations, valuation methodologies and investment case risks for companies covered by this report are available on <https://cube.cib.bnpparibas/slink/sk6EkelKwPOPF0Tj>.

For material information about the proprietary models used, please see summary of financials in company-specific research reports and the relevant company page on <https://cube.cib.bnpparibas>.

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ASML (Outperform)

Price at 8 May 26 / Target Price

Semiconductor Equipment | IT Hardware - Netherlands

EUR1,319 / EUR1,550 +17%

Company description

ASML is a Dutch company and the largest supplier in the world of lithography machines for the semiconductor industry, with over 80% market share. Lithography is one of the key steps in manufacturing a microchip and the enabler of "Moore's Law". These lithography machines are used by chip manufacturers (TSMC, Samsung, Intel ...) to make microchips, such as memory chips (DRAM, Flash) and logic chips (CPU, GPU, FPGA). These microchips are subsequently used in computers, smartphones, tablets, auto, industrial etc.

Sector calendar

11 May 26 **Syrma SGS Techn**: Q4 Results 2025/26
Ceva: Q1 Earnings 2026 (12:00 CET)
ASM: AGM (14:00 CET)

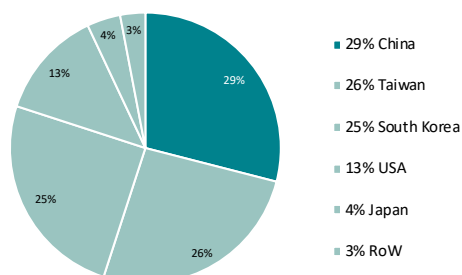
Management

Christophe Fouquet, CEO
Roger Dassen, CFO
Jim Kavanagh, Head of Investor Relations

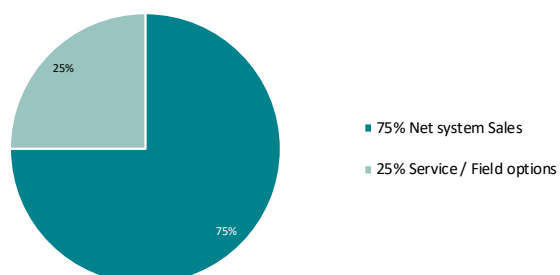
Ownership structure

BlackRock	6.8%
Capital Research	5.1%
Other Shareholders	88.1%

2025 Sales by region



2025 Sales by activity



Analyst

Jakob Bluestone, CFA (+44) 203 430 8468
Jakob.Bluestone@uk.bnpparibas.com

Price at 08 May 26 / 12m Target Price

EUR1,319 / EUR1,550 +17%

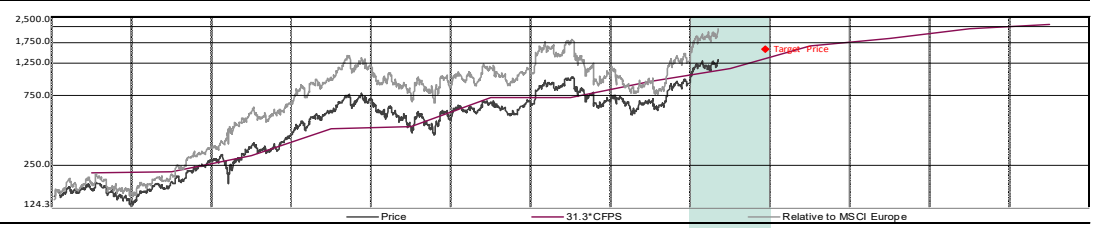
ASML (Outperform)

Refinitiv / Bloomberg: ASML.AS / ASML.NA

Bluestone, CFA (+44) 203 430 8468 & Paramaguru (+44) 203 430 8546

Semiconductor Equipment | IT Hardware - Netherlands

Company Highlights				EURm
Enterprise value				501,788
Market capitalisation				503,404
Free float				503,404
3m average volume				865
Performance (%)				
Absolute	1m	3m	12m	
Rel. Sector	9%	11%	111%	
Rel. MSCI Europe	NC	NC	NC	
12m Hi/Lo (EUR)	1,319	+0%	592.9	+123%
CAGR				
EPS restated	1997/2026	2026/2030		
CFPS	17%	20%		
	17%	19%		



Price (yearly avg from Dec. 17 to Dec. 25)	128.7	162.6	195.0	304.7	593.6	531.6	611.3	799.3	724.6	1,319.4	1,319.4	1,319.4	1,319.4	1,319.4
PER SHARE DATA (EUR)	Dec. 17	Dec. 18	Dec. 19	Dec. 20	Dec. 21	Dec. 22	Dec. 23	Dec. 24	Dec. 25	Dec. 26e	Dec. 27e	Dec. 28e	Dec. 29e	Dec. 30e
No of shares year end, basic, (m)	428,400	422,073	420,100	418,325	409,750	397,625	393,775	393,275	388,575	381,540	376,925	372,309	366,925	360,771
Avg no of shares, diluted, excl. treasury stocks (m)	431,750	426,500	421,775	419,075	410,350	397,975	394,075	393,600	388,875	381,840	377,225	372,609	367,225	361,071
EPS reported, Gaap	4.93	6.10	6.16	8.48	14.34	14.13	19.89	19.24	24.71	33.74	49.30	55.32	64.40	69.85
EPS company definition	4.93	6.10	6.16	8.48	14.34	14.13	19.89	19.24	24.71	33.74	49.30	55.32	64.40	69.85
EPS restated, fully diluted	4.91	6.08	6.15	8.48	13.90	14.13	19.89	19.24	24.71	33.74	49.30	55.32	64.40	69.85
% change	42.6%	23.8%	1.2%	38.0%	63.9%	1.7%	40.8%	(3.3%)	28.5%	36.5%	46.1%	12.2%	16.4%	8.5%
Book value (BVPS) (a)	24.9	27.6	30.0	33.1	24.7	22.2	34.2	47.0	50.5	46.1	71.5	102.2	138.5	176.8
Net dividend	1.38	3.11	2.53	2.53	3.27	6.24	5.90	6.40	6.48	7.50	8.40	9.36	10.42	11.63
STOCKMARKET RATIOS														
P / E (PI EPS restated)	26.2x	26.8x	31.7x	35.9x	42.7x	37.6x	30.7x	41.5x	29.3x	39.1x	26.8x	23.8x	20.5x	18.9x
P / E relative to MSCI Europe	166%	173%	230%	149%	326%	279%	208%	270%	167%	261%	196%	193%	178%	
P / CF	21.9x	23.1x	27.2x	33.1x	42.2x	36.2x	26.5x	34.5x	24.2x	36.1x	25.1x	22.4x	19.3x	17.8x
FCF yield	2.6%	3.6%	2.9%	2.7%	4.0%	3.3%	1.3%	2.9%	3.9%	0.8%	3.3%	3.9%	4.6%	5.0%
P / BVPS	5.16x	5.89x	6.50x	9.19x	23.99x	23.99x	17.89x	17.01x	14.36x	28.64x	18.44x	12.91x	9.53x	7.46x
Net yield	1.1%	1.9%	1.3%	0.8%	0.6%	1.2%	1.0%	0.8%	0.9%	0.6%	0.6%	0.7%	0.8%	0.9%
Payout	28.2%	51.2%	41.1%	29.8%	23.5%	44.1%	29.7%	33.3%	26.2%	22.2%	17.0%	16.9%	16.2%	16.6%
EV / Sales	6.08x	6.22x	6.84x	8.96x	12.86x	9.74x	8.58x	10.77x	8.29x	12.47x	9.39x	8.26x	7.04x	6.23x
EV / Restated EBITDA	18.9x	20.1x	24.9x	27.6x	34.2x	29.1x	24.2x	30.6x	22.0x	30.9x	21.0x	18.3x	15.4x	13.8x
EV / Restated EBITA	22.1x	23.0x	29.0x	30.9x	36.6x	31.7x	26.2x	33.7x	24.0x	33.2x	22.2x	19.4x	16.2x	14.5x
EV / NOPAT	25.3x	26.1x	31.1x	35.8x	48.8x	42.3x	34.9x	45.0x	32.0x	44.3x	26.7x	23.3x	19.5x	17.5x
EV / OpFCF	30.2x	23.6x	31.1x	30.5x	21.7x	23.5x	42.7x	30.6x	22.1x	78.4x	24.9x	20.4x	17.0x	15.2x
EV / Capital employed (incl. gross goodwill)	6.5x	7.3x	7.9x	12.5x	29.9x	24.4x	18.8x	26.1x	31.6x	27.9x	24.0x	21.9x	19.7x	17.8x
ENTERPRISE VALUE (EURm)	55,043	68,068	80,790	125,243	239,339	206,327	238,499	304,444	270,884	501,788	488,665	472,773	454,308	434,644
Market cap	55,284	69,078	82,047	127,450	243,233	211,369	240,726	314,330	281,567	503,046	497,314	491,225	484,120	476,001
+ Adjusted net debt	741	(95)	(424)	(1,387)	(2,877)	(3,754)	(2,379)	(8,054)	(8,931)	136	(6,897)	(16,700)	(28,061)	(39,605)
+ Other liabilities and commitments														
+ Revalued minority interests														
- Revalued investments	982	916	833	821	1,017	1,288	1,849	1,832	1,752	1,752	1,752	1,752	1,752	1,752
P & L HIGHLIGHTS (EURm)	Dec. 17	Dec. 18	Dec. 19	Dec. 20	Dec. 21	Dec. 22	Dec. 23	Dec. 24	Dec. 25	Dec. 26e	Dec. 27e	Dec. 28e	Dec. 29e	Dec. 30e
Sales	9,053	10,944	11,820	13,978	18,611	21,173	27,559	28,263	32,667	40,246	52,047	57,268	64,515	69,732
Restated EBITDA (b)	2,914	3,388	3,239	4,542	7,007	7,084	9,782	9,941	12,328	16,217	23,246	25,766	29,507	31,481
Depreciation	(418)	(423)	(449)	(491)	(471)	(584)	(740)	(919)	(1,026)	(1,120)	(1,232)	(1,339)	(1,441)	(1,541)
Restated EBITA (b)	2,496	2,965	2,791	4,051	6,536	6,501	9,042	9,023	11,302	15,097	22,014	24,427	28,066	29,939
Reported operating profit (loss)	2,496	2,965	2,791	4,051	6,750	6,501	9,042	9,023	11,302	15,097	22,014	24,427	28,066	29,939
Net financial income (charges)	(50)	(28)	(25)	(35)	(45)	(45)	41	20	105	101	50	50	50	50
Affiliates	(17)	6	18	89	199	138	191	210	217	270	284	298	313	328
Other				0	0	0	0	0	0	0	0	0	0	0
Tax	(311)	(352)	(192)	(552)	(1,021)	(970)	(1,436)	(1,681)	(2,013)	(2,587)	(3,751)	(4,161)	(4,780)	(5,098)
Minorities				0	0	0	0	0	0	0	0	0	0	0
Net attributable profit reported	2,119	2,591	2,592	3,554	5,883	5,624	7,839	7,572	9,609	12,882	18,597	20,614	23,649	25,219
Net attributable profit restated (c)	2,119	2,591	2,592	3,554	5,702	5,624	7,839	7,572	9,609	12,882	18,597	20,614	23,649	25,219
CASH FLOW HIGHLIGHTS (EURm)	Dec. 17	Dec. 18	Dec. 19	Dec. 20	Dec. 21	Dec. 22	Dec. 23	Dec. 24	Dec. 25	Dec. 26e	Dec. 27e	Dec. 28e	Dec. 29e	Dec. 30e
EBITDA (reported)	2,914	3,388	3,239	4,542	7,221	7,084	9,782	9,941	12,328	16,217	23,246	25,766	29,507	31,481
EBITDA adjustment (b)	0	0	0	0	(214)	0	0	0	0	0	0	0	0	0
Other items	(17)	0	0	0	49	534	1,622	50	519	(44)	0	0	0	0
Change in WCR	(737)	74	127	532	4,893	2,441	(3,664)	2,053	1,027	(7,850)	(1,608)	(562)	(707)	(446)
Operating cash flow	2,160	3,462	3,366	5,074	11,949	10,060	7,741	12,045	13,873	8,324	21,637	25,204	28,801	31,034
Capex	(339)	(574)	(767)	(962)	(901)	(1,282)	(2,196)	(2,083)	(1,631)	(1,923)	(1,979)	(2,058)	(2,141)	(2,500)
Operating free cash flow (OpFCF)	1,821	2,888	2,600	4,112	11,048	8,778	5,544	9,961	12,242	6,401	19,658	23,145	26,660	28,534
Net financial items + tax paid	(361)	(380)	(217)	(682)	(1,281)	(1,775)	(2,297)	(879)	(1,214)	(2,216)	(3,417)	(3,813)	(4,417)	(4,720)
Free cash flow	1,460	2,508	2,383	3,430	9,767	7,003	3,247	9,083	11,028	4,185	16,241	19,332	22,243	23,814
Net financial investments & acquisitions	(972)	0	0	0	0	0	(1,246)	(552)	(3,213)	(758)	0	0	0	0
Other	(168)	(45)	(45)	(92)	446	224	511	(27)	1,421	2,388	0	0	0	0
Capital increase (decrease)	(500)	(1,146)	(410)	(1,208)	(8,511)	(4,558)	(901)	(376)	(5,808)	(11,965)	(6,000)	(6,000)	(7,000)	(8,000)
Dividends paid	(517)	(597)	(1,326)	(1,066)	(1,368)	(2,560)	(2,348)	(2,453)	(2,550)	(2,917)	(3,208)	(3,529)	(3,882)	(4,270)
Increase (decrease) in net financial debt	697	(720)	(602)	(1,064)	(333)	(109)	737	(5,675)	(877)	9,067	(7,033)	(9,803)	(11,361)	(11,544)
Cash flow, group share	2,536	3,008	3,023	3,860	5,775	5,843	9,107	9,113	11,632	13,958	19,829	21,953	25,090	26,761
BALANCE SHEET HIGHLIGHTS (EURm)														
Net operating assets	7,308	7,235	7,645	8,148	8,655	9,535	11,130	12,444	13,364	14,925	15,672	16,391	17,091	18,049
WCR	1,208	2,029	2,594	1,881	(642)	(1,082)	1,418	(762)	(4,801)	4,657	5,220	5,926	6,373	6,737
Restated capital employed, incl. gross goodwill	8,516	9,263	10,239	10,303	8,013	8,453	12,548	11,682	8,562	17,773	20,329	21,611	23,017	24,422
Shareholders' funds, group share	10,676	11,641	12,592	13,865	10,141	8,811	13,452	18,477	19,612	17,577	26,966	38,051	50,818	63,767
Minorities	0	0	0	0	0	0	0	0	0	35	35	35	35	35
Provisions / Other liabilities	9	864	1,787	1,679	4,264	6,458	5,908	6,667	4,468	6,812	6,812	6,812	6,812	6,812
Net financial debt (cash)	(288)	(1,008)	(1,610)	(2,673)	(3,006)	(3,116)	(2,379)	(8,054)	(8,931)	136	(6,897)	(16,700)	(28,061)	(39,605)
FINANCIAL RATIOS (%)														
Sales (% change)	33.2%	20.9%	8.0%	18.3%	33.1%	13.8%	30.2%	2.6%	15.6%	23.2%	29.3%	10.0%	12.7%	8.1%
Organic sales growth	33.2%	20.9%	8.0%	18.3%	33.1%	13.8%	30.2%	2.6%	15.6%	23.2%	29.3%	10.0%	12.7%	8.1%
Restated EBITA (% change)	50.6%	18.8%	(5.9%)	45.2%	61.3%	(0.5%)	39.1%	(0.2%)	25.3%	33.6%	45.8%	11.0%	14.9%	6.7%
Restated attributable net profit (% change)	43.9%	22.3%	0.0%	37.1%	60.5%	(1.4%)	39.4%	(3.4%)	26.9%	34.1%	44.4%	10.8%	14.7%	6.6%
Personnel costs / Sales	NC	NC	21.4%	21.2%	15.9%	19.5%	19.4%	21.4%	20.2%	NC	NC	NC	NC	NC
Restated EBITDA margin	32.2%	31.0%	27.4%	32.5%	37.7%	33.5%	35.5%	35.2%	37.7%	40.3%	44.7%	45.0%	45.7%	45.1%
Restated EBITA margin	27.6%	27.1%	23.6%	29.0%	35.1%	30.7%	32.8%	31.9%	34.6%	37.5%	42.3%	42.7%	43.5%	42.9%
Tax rate	12.7%	12.0%	6.9%	13.7%	15.2%	15.0%	15.8%	18.6%	17.7%	17.0%	17.0%	17.0%	17.0%	17.0%
Net margin	23.4%	23.7%	21.9%	25.4%	30.6%	26.6%	28.4%	26.8%	29.4%	32.0%	35.7%	36.0%	36.7%	36.2%
Capex / Sales	3.7%	5.2%	6.5%	6.9%	4.8%	6.1%	8.0%	7.4%	5.0%	4.8%	3.8%	3.6%	3.3%	3.6%
OpFCF / Sales	20.1%	26.4%	22.0%	29.4%	59.4%	41.5%	20.1%	35.2%	37.5%	15.9%	37.8%	40.4%	41.3%	40.9%
WCR / Sales	13.3%	18.5%	21.9%	13.5%	(3.5%)	(5.1%)	(2.7%)	(14.7%)	7.6%	8.9%	9.1%	9.2%	9.1%	9.1%
Capital employed (excl. gdw. / intangibles) / Sales	31.0%	33.1%	38.9%	31.1%	13.5%	14.4%	26.2%	22.9%	10.5%	31.9%	29.2%	28.8%	27.7%	27.7%
ROE	19.8%	22.3%	20.6%	25.6%	56.2%	63.8%	58.3%	41.0%	49.0%	73.3%	69.0%	54.2%	46.5%	39.5%
Gearing	7%	(1%)	(3%)	(10%)	(28%)	(43%)	(18%)	(44%)	(46%)	1%	(26%)	(44%)	(55%)	(62%)
EBITDA / Financial charges	57.9x	NS	NS	NS	NS	NS	NS	NC	NC	NC	NC	NC	NC	NC
Adjusted financial debt / EBITDA	0.3x	NC	NC	NC	NC	NC	NC	NC	NC	0.0x	NC	NC	NC	NC
ROCE														

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Management

Christophe Fouquet, CEO

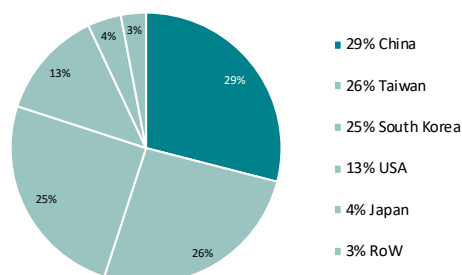
Roger Dassen, CFO

Jim Kavanagh, Head of Investor Relations

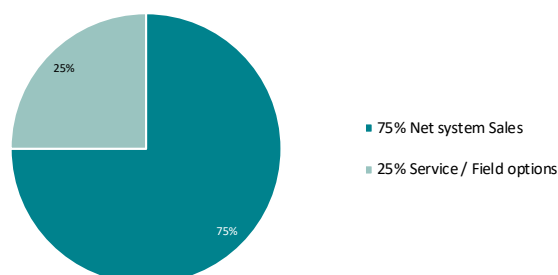
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Capital Research	5.1%
Other Shareholders	88.1%

2025 Sales by region



2025 Sales by activity



Analyst

Jakob Bluestone, CFA (+44) 203 430 8468

Jakob.Bluestone@uk.bnpparibas.com

Sector calendar

11 May 26 **Syrma SGS Techn**: Q4 Results 2025/26
Ceva: Q1 Earnings 2026 (12:00 CET)
ASM: AGM (14:00 CET)

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